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Form 1120-S Return Summary

Tax Year 2025 -- DRAFT FOR CPA REVIEW

GROSS RECEIPTS	ORDINARY INCOME (LOSS)	TOTAL TAX	DISTRIBUTIONS
$8,450,000	$241,500	$0	$400,000

Entity: Acme Construction LLC
Address: 123 Main St, Detroit, MI 48226
Shareholders: 2
EIN: 38-1234567
Generated: April 07, 2026 at 22:01 UTC
NAICS: 236220

Income Summary

Line	Description	Amount
1a	Gross receipts or sales	$8,450,000
1b	Less: Returns and allowances	$35,000
2	Cost of goods sold	$5,890,000
3	**Gross profit**	**$2,525,000**
4	Net gain (loss) from Form 4797	$12,500
5	Other income (loss)	$8,200
6	**Total income (loss)**	**$2,545,700**

Deductions Summary

Line	Description	Amount
7	Compensation of officers	$350,000
8	Salaries and wages	$1,245,000
9	Repairs and maintenance	$67,500
12	Taxes and licenses	$48,500
13	Interest	$32,000
14	Depreciation	$187,500
20	Other deductions	$95,700
21	**Total deductions**	**$2,304,200**

Schedule K Summary (Shareholders' Distributive Share)

Line	Description	Amount
1	**Ordinary business income (loss)**	**$241,500**
4	Interest income	$3,200
5a	Dividends	$1,500
7	Net short-term capital gain (loss)	--
8a	Net long-term capital gain (loss)	--
11	Section 179 deduction	$45,000
12	Other deductions	$12,500
13a	Credits	--

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Line	Description	Amount
16a	Distributions	$400,000

Bottom Line

Line	Description	Amount
22	**Ordinary business income (loss)**	**$241,500**
23c	Total tax	$0
24z	Total payments	$0
26	Amount owed	$0
27	Overpayment	$0

Notes for CPA Review

- Section 179 deduction of $45,000 for 2023 CAT 320 Excavator -- verify eligibility
- Charitable contributions: $12,500 cash to Habitat for Humanity -- verify substantiation
- Other deductions of $95,700 include: insurance $42,000, professional fees $28,500, office supplies $14,200, miscellaneous $11,000
- Two shareholders: Ben Barnes (60%) and Sarah Barnes (40%) -- K-1s to be prepared separately
- Verify depreciation schedule ties to Form 4562 and Schedule L

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Form **1120-S**

Department of the Treasury
Internal Revenue Service

U.S. Income Tax Return for an S Corporation

Do not file this form unless the corporation has filed or is attaching Form 2553 to elect to be an S corporation.
Go to *www.irs.gov/Form1120S* for instructions and the latest information.

OMB No. 1545-0123

2025

For calendar year 2025 or tax year beginning , 2025, ending , 20 25

A S election effective date: 01/01/2019	Name: Acme Construction LLC		**D** Employer identification number: 38-1234567
B Business activity code number (see instructions): 236220	Number and street. If a P.O. box, see instructions.: 123 Main St	Room or suite no.:	**E** Date incorporated: 03/15/2018
C Check if Sch. M-3 attached ☐	City or town: Detroit; State or province: MI; Country: 48226; ZIP or foreign postal code:		**F** Total assets (see instructions): $ 2,847,500

G Is the corporation electing to be an S corporation beginning with this tax year? See instructions. ☐ Yes ☐ No

H Check if: **(1)** ☐ Final return **(2)** ☐ Name change **(3)** ☐ Address change **(4)** ☐ Amended return **(5)** ☑ S election termination

I Enter the number of shareholders who were shareholders during any part of the tax year 2

J Check if corporation: **(1)** ☐ Aggregated activities for section 465 at-risk purposes **(2)** ☐ Grouped activities for section 469 passive activity purposes

Caution: Include **only** trade or business income and expenses on lines 1a through 22. See the instructions for more information.

Income	1a	Gross receipts or sales 8,450,000 **b** Less returns and allowances 35,000 **c** Balance		1c	8,415,000
	2	Cost of goods sold (attach Form 1125-A)		2	5,890,000
	3	Gross profit. Subtract line 2 from line 1c		3	2,525,000
	4	Net gain (loss) from Form 4797, Part II, line 17 (attach Form 4797)		4	12,500
	5	Other income (loss) (see instructions—attach statement)		5	8,200
	6	**Total income (loss).** Add lines 3 through 5		6	2,545,700
Deductions (see instructions for limitations)	7	Compensation of officers (see instructions—attach Form 1125-E)		7	350,000
	8	Salaries and wages (less employment credits)		8	1,245,000
	9	Repairs and maintenance		9	67,500
	10	Bad debts		10	15,000
	11	Rents		11	84,000
	12	Taxes and licenses		12	48,500
	13	Interest (see instructions)		13	32,000
	14	Depreciation from Form 4562 not claimed on Form 1125-A or elsewhere on return (attach Form 4562)		14	187,500
	15	Depletion **(do not deduct oil and gas depletion)**		15	
	16	Advertising		16	22,000
	17	Pension, profit-sharing, etc., plans		17	45,000
	18	Employee benefit programs		18	112,000
	19	Energy efficient commercial buildings deduction (attach Form 7205)		19	
	20	Other deductions (attach statement)		20	95,700
	21	**Total deductions.** Add lines 7 through 20		21	2,304,200
	22	**Ordinary business income (loss).** Subtract line 21 from line 6		22	241,500
Tax and Payments	23a	Excess net passive income or LIFO recapture tax (see instructions)	23a		
	b	Tax from Schedule D (Form 1120-S)	23b		
	c	Add lines 23a and 23b (see instructions for additional taxes)		23c	
	24a	Current year's estimated tax payments and preceding year's overpayment credited to the current year	24a		
	b	Tax deposited with Form 7004	24b		
	c	Credit for federal tax paid on fuels (attach Form 4136)	24c		
	d	Elective payment election amount from Form 3800	24d		
	z	Add lines 24a through 24d		24z	
	25	Estimated tax penalty (see instructions). Check if Form 2220 is attached ☐		25	
	26	**Amount owed.** If line 24z is smaller than the total of lines 23c and 25, enter amount owed		26	
	27	**Overpayment.** If line 24z is larger than the total of lines 23c and 25, enter amount overpaid		27	
	28	Enter amount from line 27: **a Credited to 2026 estimated tax** **b Refunded**		28b	
		c Routing number **d** Type: ☐ Checking ☐ Savings			
		e Account number			

Sign Here

Under penalties of perjury, I declare that I have examined this return, including accompanying schedules and statements, and to the best of my knowledge and belief, it is true, correct, and complete. Declaration of preparer (other than taxpayer) is based on all information of which preparer has any knowledge.

Signature of officer | Date | Title

May the IRS discuss this return with the preparer shown below? See instructions. ☐ **Yes** ☐ **No**

Paid Preparer Use Only

Preparer's name	Preparer's signature	Date	Check ☐ if self-employed / PTIN
Firm's name		Firm's EIN	
Firm's address		Phone no.	

For Paperwork Reduction Act Notice, see separate instructions.

Cat. No. 11510H Form **1120-S** (2025) Created 4/7/25

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Schedule B Other Information (see instructions)

		Yes	No
1	Check accounting method: a ☐ Cash b ☑ Accrual c ☐ Other (specify)		
2	See the instructions and enter the: a Business activity Commercial Building Construction b Product or service General Contracting		
3	At any time during the tax year, was any shareholder of the corporation a disregarded entity, a trust, an estate, or a nominee or similar person? If "Yes," attach Schedule B-1, Information on Certain Shareholders of an S Corporation	☐	✓
4	At the end of the tax year, did the corporation:		
a	Own directly 20% or more, or own, directly or indirectly, 50% or more of the total stock issued and outstanding of any foreign or domestic corporation? For rules of constructive ownership, see instructions. If "Yes," complete (i) through (v) below	☐	☐

(i) Name of Corporation	(ii) Employer Identification Number (if any)	(iii) Country of Incorporation	(iv) Percentage of Stock Owned	(v) If Percentage in (iv) Is 100%, Enter the Date (if applicable) a Qualified Subchapter S Subsidiary Election Was Made

b	Own directly an interest of 20% or more, or own, directly or indirectly, an interest of 50% or more in the profit, loss, or capital in any foreign or domestic partnership (including an entity treated as a partnership) or in the beneficial interest of a trust? For rules of constructive ownership, see instructions. If "Yes," complete (i) through (v) below	☐	☐

(i) Name of Entity	(ii) Employer Identification Number (if any)	(iii) Type of Entity	(iv) Country of Organization	(v) Maximum Percentage Owned in Profit, Loss, or Capital

5a	At the end of the tax year, did the corporation have any outstanding shares of restricted stock?	☐	☐
	If "Yes," complete lines (i) and (ii) below.		
	(i) Total shares of restricted stock		
	(ii) Total shares of non-restricted stock		
b	At the end of the tax year, did the corporation have any outstanding stock options, warrants, or similar instruments?	☐	☐
	If "Yes," complete lines (i) and (ii) below.		
	(i) Total shares of stock outstanding at the end of the tax year		
	(ii) Total shares of stock outstanding if all instruments were executed		
6	Has this corporation filed, or is it required to file, **Form 8918**, Material Advisor Disclosure Statement, to provide information on any reportable transaction?	☐	☐
7	Check this box if the corporation issued publicly offered debt instruments with original issue discount ☐		
	If checked, the corporation may have to file **Form 8281**, Information Return for Publicly Offered Original Issue Discount Instruments.		
8	If the corporation (**a**) was a C corporation before it elected to be an S corporation **or** the corporation acquired an asset with a basis determined by reference to the basis of the asset (or the basis of any other property) in the hands of a C corporation, **and** (**b**) has net unrealized built-in gain in excess of the net recognized built-in gain from prior years, enter the net unrealized built-in gain reduced by net recognized built-in gain from prior years. See instructions $		
9	Did the corporation have an election under section 163(j) for any real property trade or business or any farming business in effect during the tax year? See instructions	☐	☐
10	Does the corporation satisfy one or more of the following? See instructions	☐	☐
a	The corporation owns a pass-through entity with current, or prior year carryover, excess business interest expense.		
b	The corporation's aggregate average annual gross receipts (determined under section 448(c)) for the 3 tax years preceding the current tax year are more than $31 million and the corporation has business interest expense.		
c	The corporation is a tax shelter and the corporation has business interest expense.		
	If "Yes," complete and attach **Form 8990**, Limitation on Business Interest Expense Under Section 163(j).		
11	Does the corporation satisfy **both** of the following conditions?	☐	✓
a	The corporation's total receipts (see instructions) for the tax year were less than $250,000.		
b	The corporation's total assets at the end of the tax year were less than $250,000.		
	If "Yes," the corporation is not required to complete Schedules L and M-1.		

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Schedule B Other Information (see instructions) *(continued)*

		Yes	No
12	During the tax year, did the corporation have any non-shareholder debt that was canceled, was forgiven, or had the terms modified so as to reduce the principal amount of the debt?		
	If "Yes," enter the amount of principal reduction $		
13	During the tax year, was a qualified subchapter S subsidiary election terminated or revoked? If "Yes," see instructions		
14a	Did the corporation make any payments that would require it to file Form(s) 1099?	✓	
b	If "Yes," did or will the corporation file required Form(s) 1099?	✓	
15	Does the corporation intend to self-certify as a Qualified Opportunity Fund?		
	If "Yes," complete and attach Form 8996. Enter the amount (if any) from Form 8996, line 15 $		
16	At any time during the tax year, did the corporation: (a) receive (as a reward, award, or payment for property or services); or (b) sell, exchange, or otherwise dispose of a digital asset (or a financial interest in a digital asset)? See instructions		✓
17	Reserved for future use		

Schedule K Shareholders' Pro Rata Share Items

					Total amount
Income (Loss)	1	Ordinary business income (loss) (page 1, line 22)		1	241,500
	2	Net rental real estate income (loss) (attach Form 8825)		2	
	3a	Other gross rental income (loss)	3a		
	b	Expenses from other rental activities (attach statement)	3b		
	c	Other net rental income (loss). Subtract line 3b from line 3a		3c	
	4	Interest income		4	3,200
	5	Dividends: a Ordinary dividends		5a	1,500
		b Qualified dividends	5b 1,500		
	6	Royalties		6	
	7	Net short-term capital gain (loss) (attach Schedule D (Form 1120-S))		7	
	8a	Net long-term capital gain (loss) (attach Schedule D (Form 1120-S))		8a	
	b	Collectibles (28%) gain (loss)	8b		
	c	Unrecaptured section 1250 gain (attach statement)	8c		
	9	Net section 1231 gain (loss) (attach Form 4797)		9	
	10	Other income (loss) (see instructions) Type:		10	
Deductions	11	Section 179 deduction (attach Form 4562)		11	45,000
	12a	Cash charitable contributions		12a	12,500
	b	Noncash charitable contributions		12b	
	c	Investment interest expense		12c	
	d	Section 59(e)(2) expenditures Type:		12d	
	e	Other deductions (see instructions) Type:		12e	
Credits	13a	Low-income housing credit (section 42(j)(5))		13a	
	b	Low-income housing credit (other)		13b	
	c	Qualified rehabilitation expenditures (rental real estate) (attach Form 3468, if applicable)		13c	
	d	Other rental real estate credits (see instructions) Type:		13d	
	e	Other rental credits (see instructions) Type:		13e	
	f	Biofuel producer credit (attach Form 6478)		13f	
	g	Other credits (see instructions) Type:		13g	
International	14a	Attach Schedule K-2 (Form 1120-S), Shareholders' Pro Rata Share Items—International, and check this box to indicate you are reporting items of international tax relevance ☐			
	b	Check this box if you qualified for an exception to filing Schedule K-2 (Form 1120-S) ☐			
Alternative Minimum Tax (AMT) Items	15a	Post-1986 depreciation adjustment		15a	
	b	Adjusted gain or loss		15b	
	c	Depletion (other than oil and gas)		15c	
	d	Oil, gas, and geothermal properties—gross income		15d	
	e	Oil, gas, and geothermal properties—deductions		15e	
	f	Other AMT items (attach statement)		15f	
Items Affecting Shareholder Basis	16a	Tax-exempt interest income		16a	
	b	Other tax-exempt income		16b	
	c	Nondeductible expenses		16c	8,500
	d	Distributions (attach statement if required) (see instructions)		16d	400,000
	e	Repayment of loans from shareholders		16e	
	f	Foreign taxes paid or accrued		16f	

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Schedule K Shareholders' Pro Rata Share Items *(continued)*

				Total amount
Other Information	17a	Investment income	17a	4,700
	b	Investment expenses	17b	
	c	Dividend distributions paid from accumulated earnings and profits	17c	
	d	Other items and amounts (attach statement)		
Recon-ciliation	18	**Income (loss) reconciliation.** Combine the total amounts on lines 1 through 10. From the result, subtract the sum of the amounts on lines 11 through 12e and 16f	18	188,700

Schedule L Balance Sheets per Books

		Beginning of tax year		End of tax year	
	Assets	(a)	(b)	(c)	(d)
1	Cash		425,000		612,000
2a	Trade notes and accounts receivable		890,000		1,045,000
b	Less allowance for bad debts	( )	15,000	( )	18,000
3	Inventories		125,000		142,000
4	U.S. government obligations				
5	Tax-exempt securities (see instructions)				
6	Other current assets (attach statement)		48,000		55,000
7	Loans to shareholders				
8	Mortgage and real estate loans				
9	Other investments (attach statement)				
10a	Buildings and other depreciable assets		950,000		1,125,000
b	Less accumulated depreciation	( )	312,000	( )	499,500
11a	Depletable assets				
b	Less accumulated depletion	( )		( )	
12	Land (net of any amortization)		175,000		175,000
13a	Intangible assets (amortizable only)				
b	Less accumulated amortization	( )		( )	
14	Other assets (attach statement)		85,000		211,000
15	Total assets		2,371,000		2,847,500
	Liabilities and Shareholders' Equity				
16	Accounts payable		445,000		520,000
17	Mortgages, notes, bonds payable in less than 1 year		125,000		95,000
18	Other current liabilities (attach statement)		178,000		195,000
19	Loans from shareholders		50,000		25,000
20	Mortgages, notes, bonds payable in 1 year or more		320,000		285,000
21	Other liabilities (attach statement)				
22	Capital stock		1,000		1,000
23	Additional paid-in capital		99,000		99,000
24	Retained earnings		1,128,000		1,427,500
25	Adjustments to shareholders' equity (attach statement)				
26	Less cost of treasury stock		( )		( )
27	Total liabilities and shareholders' equity		2,346,000		2,647,500

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Schedule M-1 Reconciliation of Income (Loss) per Books With Income (Loss) per Return

Note: The corporation may be required to file Schedule M-3. See instructions.

1	Net income (loss) per books	241,700	5	Income recorded on books this year not included on Schedule K, lines 1 through 10 (itemize):	
2	Income included on Schedule K, lines 1, 2, 3c, 4, 5a, 6, 7, 8a, 9, and 10, not recorded on books this year (itemize): 12,500		a	Tax-exempt interest $	
3	Expenses recorded on books this year not included on Schedule K, lines 1 through 12e, and 16f (itemize):		6	Deductions included on Schedule K, lines 1 through 12e, and 16f, not charged against book income this year (itemize):	
a	Depreciation $ 3,200		a	Depreciation $	3,200
b	Travel and entertainment $		7	Add lines 5 and 6	251,000
4	Add lines 1 through 3	254,200	8	Income (loss) (Schedule K, line 18). Subtract line 7 from line 4	251,000

Schedule M-2 Analysis of Accumulated Adjustments Account, Shareholders' Undistributed Taxable Income Previously Taxed, Accumulated Earnings and Profits, and Other Adjustments Account

(see instructions)

		(a) Accumulated adjustments account	(b) Shareholders' undistributed taxable income previously taxed	(c) Accumulated earnings and profits	(d) Other adjustments account
1	Balance at beginning of tax year	1,128,000			
2	Ordinary income from page 1, line 22	241,700			
3	Other additions	57,800			
4	Loss from page 1, line 22	( )			
5	Other reductions	( )			( )
6	Combine lines 1 through 5	1,427,500			
7	Distributions	400,000			
8	Balance at end of tax year. Subtract line 7 from line 6	1,027,500			

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